



BRUISED BUT NOT BROKEN

- 1 **Why Portfolios Took a Hit:** India's vulnerability to global shocks is amplified by its dependence on crude oil imports, which account for over 85% of its total consumption.
- 2 **Weakening Macro Backdrop:** Elevated crude prices, depreciating rupee, rising inflation are squeezing corporate margins.
- 3 **Strategy for FY27: Stay Disciplined, Stay Ahead** Focus on bottom-up investing—companies with reasonable valuations and relatively lower disruption from the current crisis. Diversification is equally important. Consider AIFs, structured investment products, and global equities.
- 4 **Top MF strategies for FY27:** Equity investments should follow an ideal market cap mix of 50-55% in large caps, 20-25% in mid caps and the rest in small caps.
- 5 **Will Gold and Silver Outperform?** After a stellar run in 2025—gold up 75% and silver over 150%—the outlook for FY27 appears more balanced. Investors should expect consolidation, intermittent corrections, and higher volatility.

been consistent sellers, with FY26 seeing record outflows of ₹1.8 trillion. A weaker rupee, geopolitical tensions, their preference for AI-led growth markets and more attractive valuations in other emerging markets have contributed to this trend. "India is seen as expensive, lacks a strong AI play, and investors have found better opportunities elsewhere," says Shah. "If geopolitical tensions ease, selling may reduce but may not fully reverse."

RETAIL ACTION PLAN

Despite near-term challenges, the long-term outlook for Indian equities is intact. The current phase offers an opportunity to selectively accumulate quality businesses at more reasonable valuations. "FY27 is going to be another challenging year. Investors must keep a long-term horizon and buy quality on dips and have both core portfolio for at least three-five years and satellite portfolio, which focuses on trading strategies, including buy-on-dips and sell-on-rise, to take the benefit of volatility," says Bathini. "This is the time to focus on bottom-up investing, companies with reasonable valuations and relatively lower disruption from the current crisis," says Shah.

Even as market volatility persists, some sectors have already begun to turn the corner. "Our first preference has been banking and financial services, where valuations are reasonable and impact is limited. The second sector is cement, which should benefit from infrastructure building and GST changes. The third is hotels and hospitals, where domestic demand and resilience support growth," says Shah. One big theme, he believes, will be electrification with rising power generation, reduced dependence on crude oil, and shift towards electric